payments exports of services to 1.6 per cent in total global exports of $13.3 trillion in 2019 according to the TISMOS database.

Distribution or E-commerce Services Have Remained Stunted

The largest constituent of global services exports is distribution services with a share of about 20 per cent, which translates to exports of $2.64 trillion. These services, provided by wholesalers and retailers, have now been increasingly overtaken by digital platforms like Amazon, Alibaba and Walmart–Flipkart. These services are also provided by establishing a commercial establishment in the countries of consumption of the goods.

CSSS does not pay attention to distribution services, despite this being the largest exportable service segment globally.

Indian entrepreneurs invested in export of IT services from the very early period of globalization and digitalization of services, around the turn of the millennium. A few start-ups like Flipkart ventured into distribution services. Unfortunately, the country got into two major policy muddles in the past twenty years that inhibited our growth in distribution services. First, we entered a large but wholly unnecessary debate in the platform versus inventory model of building e-retailers, including multi-brand versus single-brand e-stores/e-delivery. This was intended to stop the likes of Amazon from finding their feet in India. The result was the opposite. Not only has Amazon built a large franchise in distribution, the other American giant, Walmart, has gobbled up Flipkart, resulting in India becoming a major importer of distribution services and an almost nonentity in export of distribution services.

The second unnecessary and harmful policy muddle has been the handling of data privacy and data localization. Today, the capability to deploy artificial intelligence (AI) is the key to a successful distribution business, whether wholesale or retail, single or multi-brand, for groceries or